



The broader context for mainland China equities is that investors are rotating away from bonds and property back towards stocks with an improving earnings growth outlook amidst higher inflation and demand-side property control measures. Meanwhile, the domestic regulator has followed through on its August 2015 plan to allow domestic pension funds to invest up to 30% of their net assets in equities (versus zero previously). Mandates were awarded last December by the National Pension Fund to 21 asset management companies to invest in equities and these funds have begun to be invested in the local equity market as of last month.

In conclusion, the outlook for China equities is bullish from both a structural and cyclical perspective. We believe valuations are reasonable, earnings growth is recovering and long-term institutional capital is increasingly moving into the market. 📈

受高通貨膨脹以及針對需求的房地產控制措施影響，中國股票的大趨勢是投資者從債券和房地產領域，轉移至盈利增長前景良好的股票。與此同時，國內監管機構亦按照2015年8月制定的計劃，容許國內退休基金以其淨資產總值最高30%的額度投資股票。此前，國內退休基金是不能投資股票的。去年12月，中國全國社會保障基金批准21家資產管理公司投資股票，而後者已於上月開始投資本地股票市場。

總而言之，無論以結構性和週期性的角度出發，中國股票市場的前景均是良好的。我們認為估值處於合理水平，盈利增長正在復蘇，更多機構長線資本正在進入市場。📈